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Squaring & Circling

Anything can be converted to anything else, only the important thing is that we should know the way to convert it. You will find this true in everyday life. Light can be converted to electricity through solar panels, sound can be converted to wireless signals, and so on. While handling charts we mostly handle two contents, price and time. We can convert Price to Time & Time to Price, which means we can use them interchangeably. So if we know any important price, we can take that number as time. If we go ahead in future with that much amount of time we find important changes in trend. Similarly, time difference between two important highs & lows, can be taken as price resistance levels from important extreme points. Here we will focus more on price content.

Squaring of low— Have a look at below mentioned chart of indusind bank Ltd. we have taken price of important low as side of square. We have taken this side from low till zero vertically and then by taking this as a side of square we have drawn square. In geometrical language we term this as square of low. We can do such type of squaring on any time frame. W.D. Gann use to draw square of low on Soybean chart, which used to be his very successful trades.



Fig 16.1– Squaring of low

Squaring of High — If we take important high and draw a vertical line till zero, and take that length as side of square, resultant will be squaring of high. Changes in trend can be expected at the outer boundary of the square. Shown below in Fig 16.2 chart of Jubilant food.



Fig 16.2– Squaring of high

Squaring of Range & Circling— In previous two instances we have taken zero to Low & zero to high as a side of square. Now if we take any important range and take the difference between low and high of that range as a side of square, we can do the squaring of the range.



Fig 16.3– Squaring of Range

Circling of square— Whenever we square a high, low or range we can do the circling of square. To circle a square we first need to know the perimeter of square, which will be $4 \times A$ if side of square is taken as A . Now we can take $4A$ as a circumference of a circle, and calculate the radius. Once we know the radius draw a circle of that radius, at the point of intersection of diagonals of square. Concept will be clear from the below show chart of LIC housing finance in fig 16.4. First, major downfall started from squaring and second major rally started from circling of square.

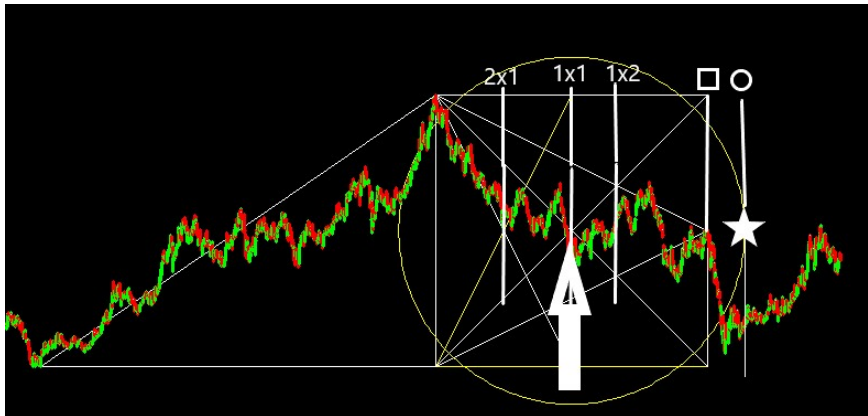


Fig 16.4– Circling of square

Scanner— Even though Square boundary and Circle tangent are more important points for change in trend timelines, other points inside the square can also be important time lines. Scanner display is shown in below fig 16.5, Column information is given below.

1. Chart— click here to open chart
2. Scrip— Scrip name / Time frame / Unique identity number
3. Square-Time (+ve number denotes time remaining, -ve number denotes time elapsed)

Squaring of High/Low Range - Fortune+

×

Trading sessions left since the plotting day.

Generate

LICHSGFIN

0

Display

Cha.	Scrip	Square	Circle	Pt 2x1	Pt 1x1	Pt 1x2	Del.
	LICHSGFIN (TD # SqrRng) - 54	-313	-225	-791	-633	-529	

Fig 16.5– Scanner display

- 4. Circle — Time at the tangent of circle.
- 5. Point 2x1 — 2x1 intersection ,Check fig 16.4
- 6. Point 1x1 — 1x1 intersection ,Check fig 16.4
- 7. Point 1x2 — 1x12 intersection ,Check fig 16.4
- 8. Delete — Delete data from database.
- 9. Save as CSV — full data can be saved in .csv & open in excel.

Knowing the date of change in trend in advance is miracle and gives us an edge over others to be in right trend and at right time. Now with the help of scanner we can know the dates of multiple scrips and get alerts when ever any scrip reaches the trend change point.